

Eligibility Criteria^[1]

Volume: This refers to the number of contracts of the company bought and sold over a given period.

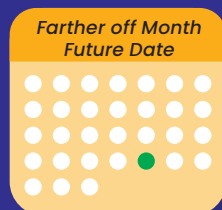
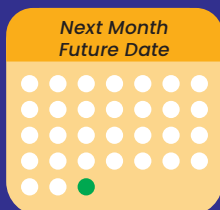
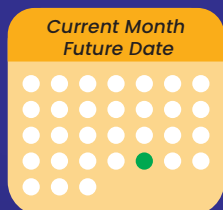
Performance: It examines how the asset performs in terms of price volatility and average delivery value during a period.

Market capitalisation: This criterion pertains to the market value of a company's outstanding shares.

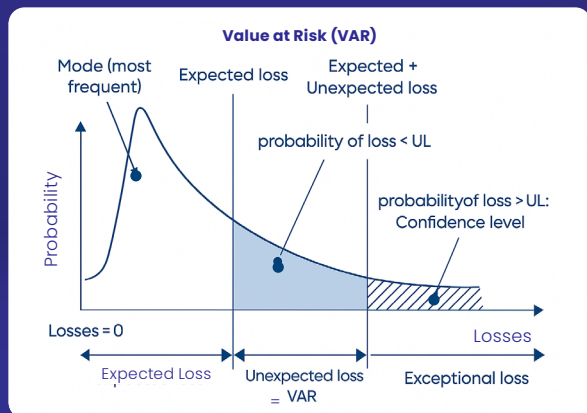
If a company that previously qualified for the futures market does not meet the criteria anymore, it will be taken off. India has futures contracts for the current, the next, and farther-off months. The expiries are on the last Thursday of each month. Far-month futures expire in the month after the next month.



Expiration Date



Buying a futures contract



If you wish to buy a futures contract, you must pay two margins: the initial and the mark-to-market. The latter gets re-evaluated at the end of the day to assess the change in the asset price. It will vary based on the value at risk (VaR), a statistic to understand the possible financial losses over a period.

Image Source: https://www.researchgate.net/figure/alue-at-risk-model-VaR_fig1_378738937